CHAPTER NINETEEN

CORUS—STEELING THE GROUP

Scaling Up

After acquiring Tetley, Ratan was on a quest to further expand the Tata Group's overseas footprint. Seven years on, he picked up what would be the biggest trophy—the Corus Group**,** a steel and metals manufacturer formed in October 1999 through the merger of Koninklijke Hoogovens of the Netherlands and British Steel. Corus was the largest producer of steel in Europe and the third-largest in the world. Headquartered in London, it had plants in the Netherlands, the UK, the US, Germany, Norway and France, and a global workforce of nearly 50,000.

The acquisition of Corus shook the business world. No one had imagined that Ratan had it in him to seize a marquee company of the size of the European giant and shift its control to the conservative, understated headquarters of the Tata Group in Mumbai, India.

There were three principal reasons why Ratan chose to expand Tata Steel's business. The first was that the late 1990s signalled the beginning of an exciting restructuring and consolidation phase of the steel industry across the globe; many steel companies until then had been relatively fragmented. The second was that by 2003, the steel production in Jamshedpur was stuck in the region of 3 MT per year. Ratan wanted to achieve scale and raise Tata Steel's capacity, and not confine it to its oldest site.

The third reason was that the 2000s was the period of the fourth 'supercycle', a phase that is prolonged and typically lasts decades. It is fuelled by the rise in commodity prices on the back of increased demand spurred by urbanization and industrialization of a large economy—China,